VICR - Vicor Corporation

Full active edition | Owner-directed 20x forward operating profit | Portfolio Base overrides preserved.

Full current investment artifact | Framework 8.0 | October 1, 2026

NOT HELD in supplied workbook | CHOKEPOINT: power-delivery IP, with competitive manufacturing and licensing capture.

Analytical Base: 49/60 = 81.67%, rounded to 82/100 - High Conviction. Protected portfolio Excel Base: 82/100.

Active Q4 2027 ceiling: USD 308.01/share, using Q4 2027-Q3 2028 operating profit. The valuation uses the owner-directed **20× rolling forward-four-quarter operating profit**, with the existing starting-quarter diluted-share schedule.

The active case combines high-density power modules with a growing licensing business. Q3 revenue is modeled at **USD 187.791M**, above the issuer's greater-than-30% sequential growth threshold. The royalty expansion after Q3 carries a **55% subjective realization probability**, with legal, engineering and administration costs included. Product forecasts and product margins are explicit capacity/conversion assumptions.

Horizon schedule: Q4 2027 is active from October 1 through December 31, 2026. On January 1, 2027 the active horizon becomes Q1 2028. This selects a different point on the same quarterly forecast path; operating inputs and company valuation rules are unchanged.

Snapshot only: frozen workbook price USD 221.20, model share proxy 47.708M, implied snapshot capitalization USD 10,553.010M. This is not a live quote; subsequent share-price gains are not evidence for a higher ceiling. All financial amounts below are USD millions unless specified. Forecast precision is for reconciliation, not a claim of economic certainty.

1. Supercycle, supply chain and durable advantage

Vicor sells high-density power modules and licenses power-delivery IP. The investment thesis is the combination of current-density, thermal and packaging requirements with enforceable patent claims. VPD can increase the component wallet per accelerator, and licensing can monetize systems built by other suppliers. It is not proof that every AI processor must use Vicor hardware. Qualified alternatives, claim-specific design-arounds and royalty discounts affect capture. The position fits DB4 power and DB1 advanced packaging, with industrial test and defense providing additional demand.

48V distribution and other input architectures feed conversion close to the processor. Shorter current paths can reduce resistive loss, but system designers trade efficiency, package height, thermal performance and supplier availability. Licence income permits economic participation even when another vendor manufactures a module. The competition section confirms alternatives across both reported product categories. [V7]

Business / curve	Stage	Evidence and next inflection
Advanced power modules	Ramp; 10-50% qualitative	Growing adoption with capacity and design-cycle constraints.
Second-generation VPD	Early ramp	Additional programmes must reach accepted production.
Royalty practice	Early commercial expansion	Signed contracts support capture; future renewals and fee bases vary.

Stage percentages are qualitative framework bands relative to a possible mature opportunity, not measured market penetration. A current capacity constraint can coexist with a larger long-term TAM; qualification and economic capture decide how much reaches this company.

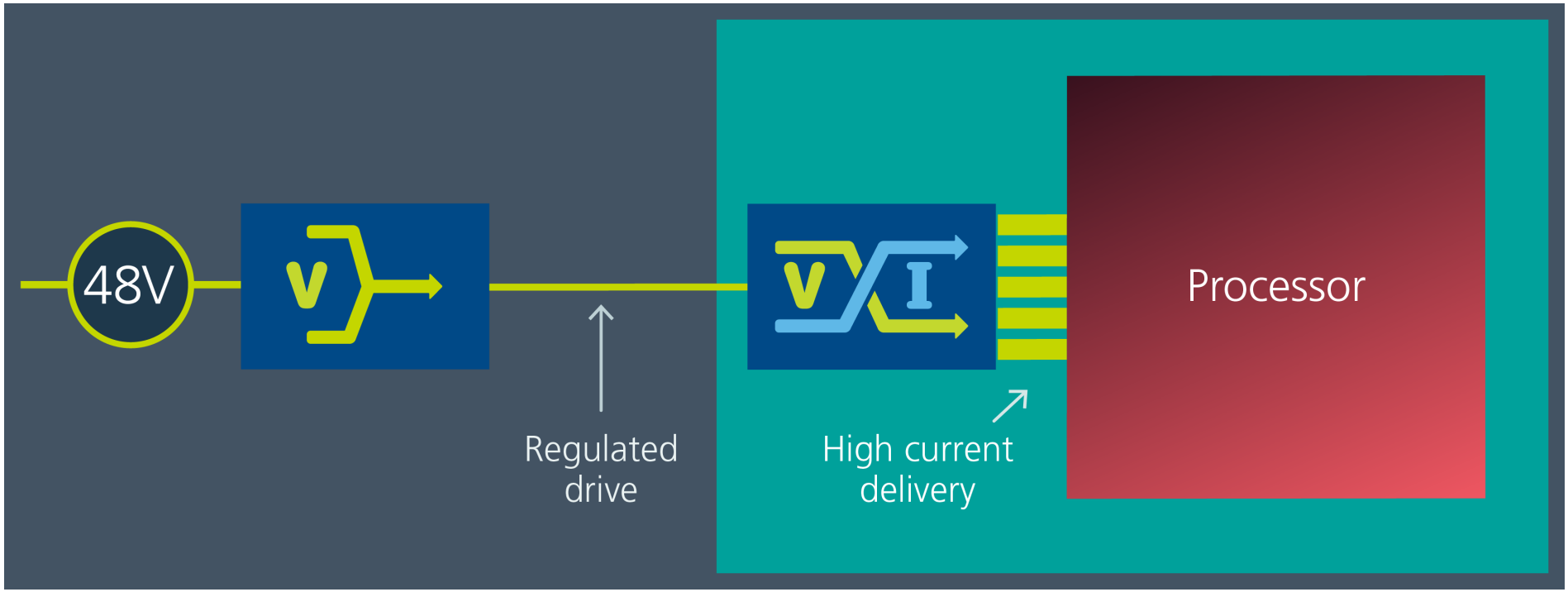


Figure 1. Vicor, Power Systems Design engineering article, May 2024, Figure 2: factorized power architecture. Voltage regulation and current multiplication serve different functions. This historical technical exhibit explains the product, not a new customer order. (V14)

Vicor's factorized architecture separates regulation from high-current delivery. Placement close to or beneath the processor can reduce delivery distance and resistive loss. Economic capture has two routes: selling components and licensing applicable patents to systems built with other suppliers. Neither route guarantees universal market share. A nonexclusive licence can create royalty revenue while also allowing hardware competition.

The engineering roadmap points toward denser current delivery as accelerator loads rise. Current-density claims and product thickness are technical capabilities, not sufficient evidence of customer units, selling price or patent coverage. The model therefore uses product revenue separately from royalty adoption, with overlapping routes reconciled rather than summed as if both captured every dollar.

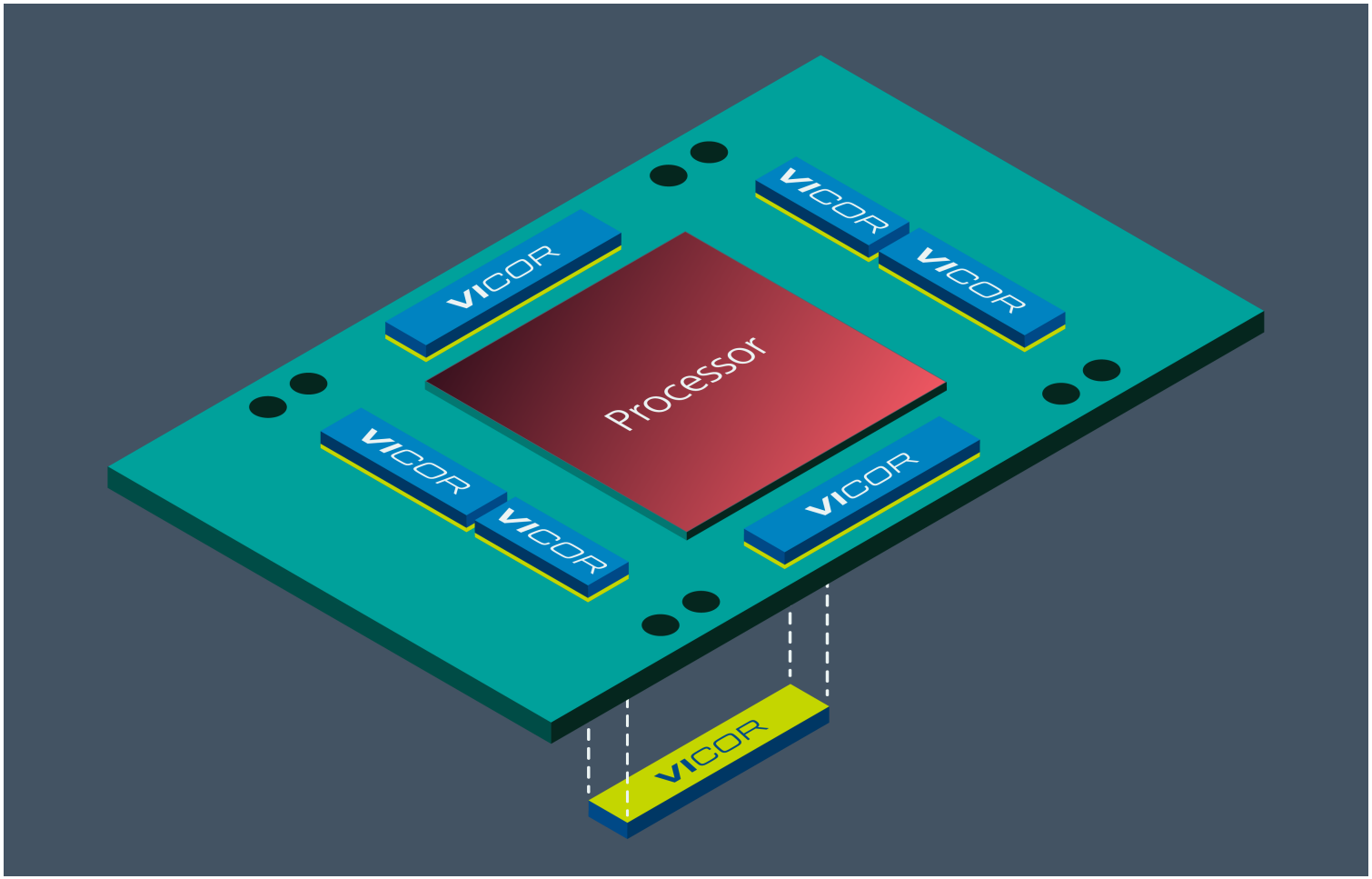


Figure 2. Vicor May 2024 article, Figure 3: lateral placement around the processor and an under-processor vertical approach. Shorter current paths support the engineering thesis; package layout, qualification and competing designs determine adoption. (V14)

2. Forward TAM and the three-phase expansion lens

Phase	Engineering opportunity	Demand-to-company bridge
Phase 1; 100% thematic	Higher-density AI compute and test systems	Use company-specific capacity, revenue objectives and qualified shipments; hyperscaler capex is demand context, not Vicor revenue.
Phase 2; 50% thematic	Industrial automation, defense and automotive power	These share engineering primitives with existing modules; product categories remain the mutually exclusive revenue ledger.
Phase 3; 20% thematic	Power-in-package and more pervasive high-density compute	IP and package capability can extend the addressable wallet. No unawarded market size is booked separately.

The 100% / 50% / 20% thematic weights guide thesis assessment. They are not blanket discounts to reported sales, contracts or all forecasts. Programme probabilities below govern only separately identified optionality. Current reported sales calibrate the starting point; they do not cap the future market.

The company-scale constraint is more useful here than multiplying industry AI capex by an arbitrary share. The operating build reaches product revenue of USD 966M in 2027 and USD 2,746M in 2030. The latter is 91.5% of a hypothetical USD 3,000M equipped annual two-fab capacity envelope. That envelope is a planning proxy, not disclosed commissioned capacity. Fab-1's approximately USD 1,500M inclusive revenue-capacity concept already contains Brick products. Royalties require a separate economic bridge because their covered licensee revenue base is not Vicor's own factory output. [V2-V4]

3. Latest earnings, guidance and commercial evidence

Reported Q2 2026: revenue 143.352, gross profit 83.120, SG&A 27.601, R&D 20.641 and operating profit 34.878. Advanced Products of 94.161 includes royalties of 30.426; product-only Advanced Products are 63.735. Brick revenue is 49.191. Attributable net income of 49.772 benefits from non-operating income and a tax benefit; it is not the recurring operating earnings input. Diluted weighted-average shares are 47.708M. [V1]

Current Q3 guidance: the September 30 issuer release puts sequential revenue growth above 30%, driven by increased royalties from the first nonexclusive VPD licence. With Q2 revenue of 143.352, the guided threshold is greater than **186.3576**. Our 31% point estimate produces **187.79112**. The extra one percentage point is a modeling choice above an open lower bound, not management's precise forecast and not reported Q3 revenue. [V9]

The September 21 and September 30 releases refer to the same VPD licensing event. They must not be counted as two new licences. The earlier release also identifies four OEM/hyperscaler licensees across Vicor power technology; it does not establish four VPD licence customers. The September agreement is nonexclusive and may give royalty discounts for purchases of Vicor products. Customer identity, royalty rate, covered units, term and the upfront/recurring split are undisclosed. [V5, V8-V9]

Both latest full management-call records, April 21 and July 21, were reviewed, with numerical transcription slips checked against the filing. The Q2 call details a separate May contract: total cash schedule of 60M, with GAAP recognition of 15M in Q2, 5M in Q3 and 10M in each of the next four quarters due to termination provisions. The September VPD agreement is separate from that contract. Recognition and cash collection cannot be treated as identical for every licence. [V1-V3]

Backlog of 379.7M, up 26% sequentially and 145% annually, and a book-to-bill above one support product conversion. These orders are already part of the product ramp; adding backlog to forecast revenue would double count. July's longer-run 2.5B revenue, 70% gross-margin and 40% operating-margin objectives have no firm achievement year. The model does not force all three to occur together. [V3]

Evidence anchor	Amount / scope		Status
Q2 revenue / OP		143.352 / 34.878	Reported; USD M
Q3 revenue lower bound	>186.3576		Issuer guidance; >30% sequential
Q3 current point model		187.79112	31% sequential assumption
Q3 product sales		137.2612	Product forecast; allocation not guided
Q3 inferred royalties		50.52992	Residual; includes unknown timing/mix
Overall power-technology licensees	Four		Issuer disclosure; not four VPD licences

4. Licensing economics and the active probability bridge

Management discussed potential royalties as large as **50% of product revenue** on the April call. This is a company-scale ambition, not a 50% contractual royalty rate and not half of total company revenue. At that ratio, royalties would represent one third of total revenue. On the July call, management declined to give a precise future mix when asked about a different denominator-half of total revenue. That limits confidence in a rigid timing forecast, without erasing the earlier possibility. [V2-V3]

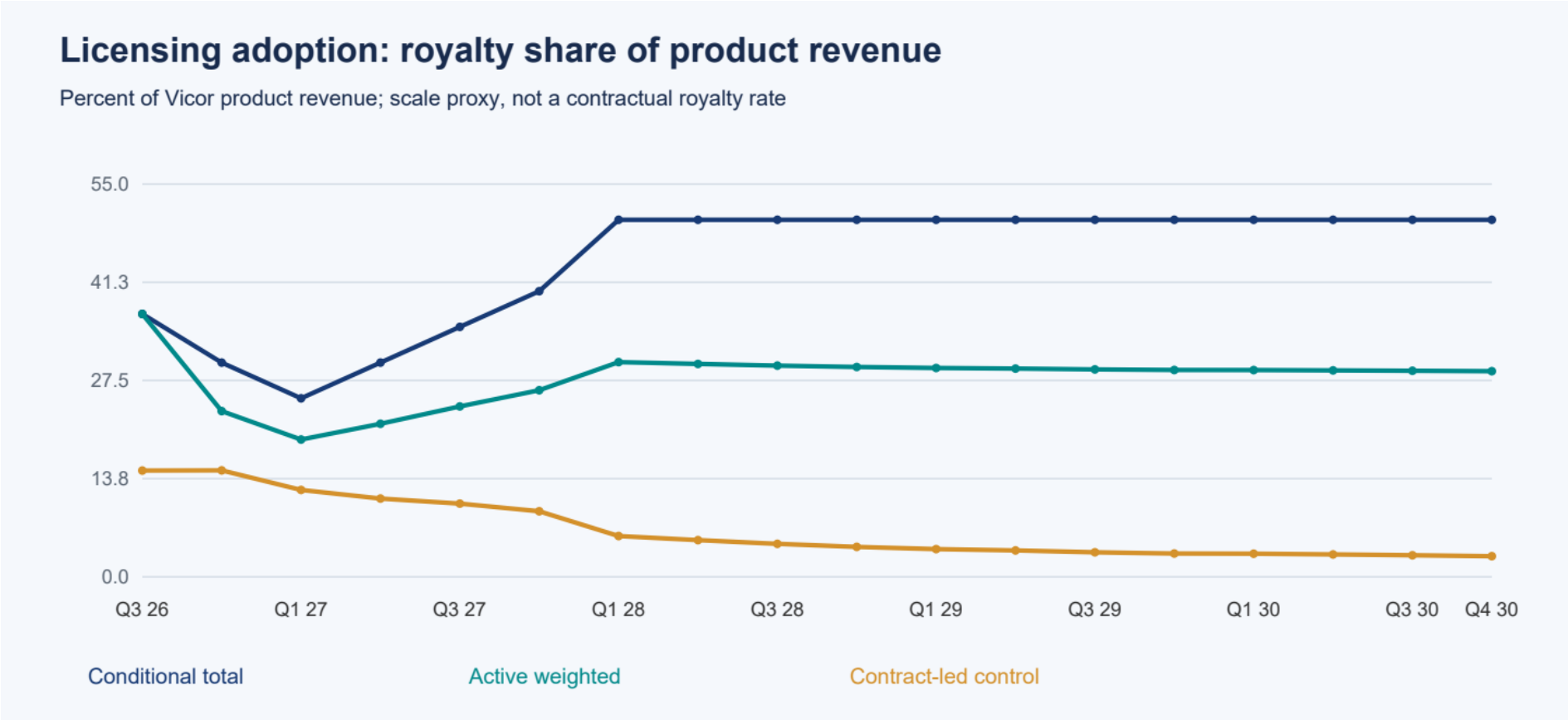
Licences include both sales/usage-based arrangements and all-inclusive fixed-fee terms that may run for two years. More accelerator demand does not automatically reprice an existing fixed contract. The active adoption hypothesis therefore captures a combination of new licences, covered-system expansion and eventual repricing/renewals, rather than imposing a unit-growth escalator on every contract.

55% probability is assigned to the defined expansion path below. Four overall licensees and the first monetized VPD agreement demonstrate a route to capture. The large Q3 royalty contribution improves its credibility. Offsetting that evidence are undisclosed economics, possible catch-up recognition, royalty discounts, fixed-fee terms, competing architectures and claim-specific design-arounds. This is a subjective economic-outcome probability, not a measured success frequency or a probability that the issuer announcement is authentic.

The conditional total royalty/product ratio is 30% in Q4 2026, then 25%, 30%, 35% and 40% across 2027, reaching 50% from 2028. Timing is an analyst assumption. The ratio falls from 30% in Q4 to 25% in Q1 as product revenue expands; conditional royalty dollars still rise from 51.170M to 52.250M. This accommodates recognition normalization rather than mechanically extending a potentially lumpy Q3 receipt. The company has not promised the 2028 date. Later years have substantially lower forecasting reliability than the next 12-16 months.

Active royalty = contract-led reference + 55% × (conditional total royalties - reference). The conditional endpoint replaces the reference total. It is not added wholesale on top. The reference includes a 25.426M quarterly assumption through 2027, a 75% renewal weight beginning in 2028 and 5% annual usage growth thereafter. These are current control assumptions, not guaranteed fees. The joint expansion outcome includes renewal economics, so the 75% weight is not applied to that endpoint again. No separate September licence carry-forward or legal-settlement jackpot is layered onto it.

For Q3 only, the guidance-anchored total determines the royalty residual at unchanged product sales: 187.79112 - 137.2612 = 50.52992. That entire point estimate enters the quarter, with no 55% haircut to published revenue guidance. The allocation remains uncertain; a different product mix would change profit at the same guided revenue.



Licensing adoption: royalty share of product revenue. Source: current model; all forecast quantities are analytical assumptions. Supporting numeric table follows.

Quarter	Conditional royalties / product	Active royalties / product	Control royalties / product
Q3 2026	36.81%	36.81%	14.88%
Q4 2026	30.00%	23.21%	14.91%
Q1 2027	25.00%	19.22%	12.17%
Q2 2027	30.00%	21.43%	10.96%
Q3 2027	35.00%	23.86%	10.25%
Q4 2027	40.00%	26.13%	9.18%
Q1 2028	50.00%	30.07%	5.71%

Quarter	Conditional royalties / product	Active royalties / product	Control royalties / product
Q2 2028	50.00%	29.81%	5.14%
Q3 2028	50.00%	29.58%	4.62%
Q4 2028	50.00%	29.39%	4.19%
Q1 2029	50.00%	29.25%	3.88%
Q2 2029	50.00%	29.16%	3.69%
Q3 2029	50.00%	29.05%	3.43%
Q4 2029	50.00%	28.97%	3.26%
Q1 2030	50.00%	28.96%	3.23%
Q2 2030	50.00%	28.91%	3.13%
Q3 2030	50.00%	28.86%	3.02%
Q4 2030	50.00%	28.80%	2.89%

Quarter	Product sales	Control royalties	Conditional royalties	Outcome weight	Active royalties	Active / product
Q3 2026	137.261	20.426	50.530	100.00%	50.530	36.81%
Q4 2026	170.566	25.426	51.170	55.00%	39.585	23.21%
Q1 2027	209.000	25.426	52.250	55.00%	40.179	19.22%
Q2 2027	232.000	25.426	69.600	55.00%	49.722	21.43%
Q3 2027	248.000	25.426	86.800	55.00%	59.182	23.86%
Q4 2027	277.000	25.426	110.800	55.00%	72.382	26.13%
Q1 2028	334.000	19.070	167.000	55.00%	100.431	30.07%
Q2 2028	371.000	19.070	185.500	55.00%	110.606	29.81%
Q3 2028	413.000	19.070	206.500	55.00%	122.156	29.58%
Q4 2028	455.000	19.070	227.500	55.00%	133.706	29.39%
Q1 2029	516.000	20.023	258.000	55.00%	150.910	29.25%
Q2 2029	542.000	20.023	271.000	55.00%	158.060	29.16%

Quarter	Product sales	Control royalties	Conditional royalties	Outcome weight	Active royalties	Active / product
Q3 2029	583.000	20.023	291.500	55.00%	169.335	29.05%
Q4 2029	614.000	20.023	307.000	55.00%	177.860	28.97%
Q1 2030	650.000	21.024	325.000	55.00%	188.211	28.96%
Q2 2030	671.000	21.024	335.500	55.00%	193.986	28.91%
Q3 2030	697.000	21.024	348.500	55.00%	201.136	28.86%
Q4 2030	728.000	21.024	364.000	55.00%	209.661	28.80%

The product-revenue ratio calibrates the company-scale opportunity; the actual legal royalty base is covered licensee sales, usage or negotiated fixed amounts. It must not be described as direct royalty revenue from Vicor's own product sales. All forward amounts in this table have LOW model confidence. Q3's 100% anchor weight means the selected point estimate is entered in full, not that the result or mix is certain.

The calculation permits current-quarter royalties to fall in Q4 even as product sales rise. This reflects uncertainty about catch-up fees and recognition cadence. Repeated royalties, more independently supported licence adoption or usage-based terms would raise the expansion probability toward 70%. Evidence that the Q3 increase was predominantly one-time, stronger discounts, weak renewals, adverse claim decisions or delayed deployment would reduce it toward 30%, move the ramp later, or both. Reposts do not count as independent evidence.

5. Analytical thesis score

Category	Points / maximum	Evidence
Core Thesis	18 / 20	VPD monetization and four overall licensees support a commercially repeatable IP route; alternatives and enforceable scope constrain exclusivity.
Cycle Stage	9 / 10	Product backlog and new capacity support a ramp; manufacturing and qualification still matter.
TAM Expansion	9 / 10	Denser compute increases power-delivery need; modules and licence capture are separately modeled.
Catalysts	5 / 5	Q3 recognition, future licence adoption and Fab-2 deployment are specific tests.
Macro	9 / 10	Compute density and electrical content support demand; architecture remains competitive.
Alpha	3 / 5	The royalty/product distinction and recognition-cost bridge clarify the opportunity.
Risks	-4	Four independent scored risk classes in section 13.

18 + 9 + 9 + 5 + 9 + 3 - 4 = 49 / 60 = 81.6667%, rounded to 82. This is an analytical thesis score. The portfolio Excel Base remains its protected 82. Commercial breadth supports the Core score; neither the stock's rise nor the arithmetic royalty uplift earns extra score points. The 55% operating-outcome weight is not multiplied

by Base again.

6. Revenue vectors, product margins and manufacturing

Vector	Anchor and forecast construction	Margin / limits
Advanced Products, excluding royalties	63.735M reported Q2 residual. Product-only revenue path models qualified output, higher content and Fab-2 deployment. Annual revenue 744 / 1,325 / 1,985 / 2,460M for 2027-30.	54% Q3 2026 GM to 74% exit-2030; absorption, mix and execution assumptions, not disclosed segment guidance.
Brick Products	49.191M Q2 actual. Annual revenue 222 / 248 / 270 / 286M for 2027-30 reflects slower industrial and defense adoption.	40% initial GM to 44% in 2030; allocated/calibrated, not reported product GM.
Royalties	30.426M Q2 actual. Q3 guidance residual; later active joint adoption bridge in section 4. Royalties are removed from reported AP first.	100% gross contribution; legal, SG&A, R&D and SBC remain in the operating-cost bridge. Not 100% OP margin.

Product margins are inferred. Q2 AP GM = (83.120 - 49.191 × 40% - 30.426) / 63.735 = 51.8045%. This reconciles consolidated GP exactly; it does not turn the assumed Brick margin into a reported fact. Future product revenue factors equal each quarterly forecast divided by the respective Q2 anchor.

On September 11, Vicor announced it was purchasing a 334,000-square-foot building on 66 acres in Merrimack and 54 acres in Hooksett. Potential combined future space approaches one million square feet, with initial Fab-2 deployment about a year from announcement. Land and building area do not establish equipped output, yield or customer acceptance. The AP path already incorporates a manufacturing expansion; no second revenue pool is added from the footprint. [V4]

At 2030, AP revenue of 2,460M is approximately 9.65 times its Q2 2026 annualized anchor. One illustrative decomposition is 5 times qualified unit output and 1.93 times product content/mix. Those components are LOW-confidence calibration proxies, not separate orders. They are not multiplied again into the already specified revenue path. INFAC's September automotive collaboration supports a design route but discloses no vehicle award volume or start of production; automotive is already included within the broad AP opportunity. [V13]

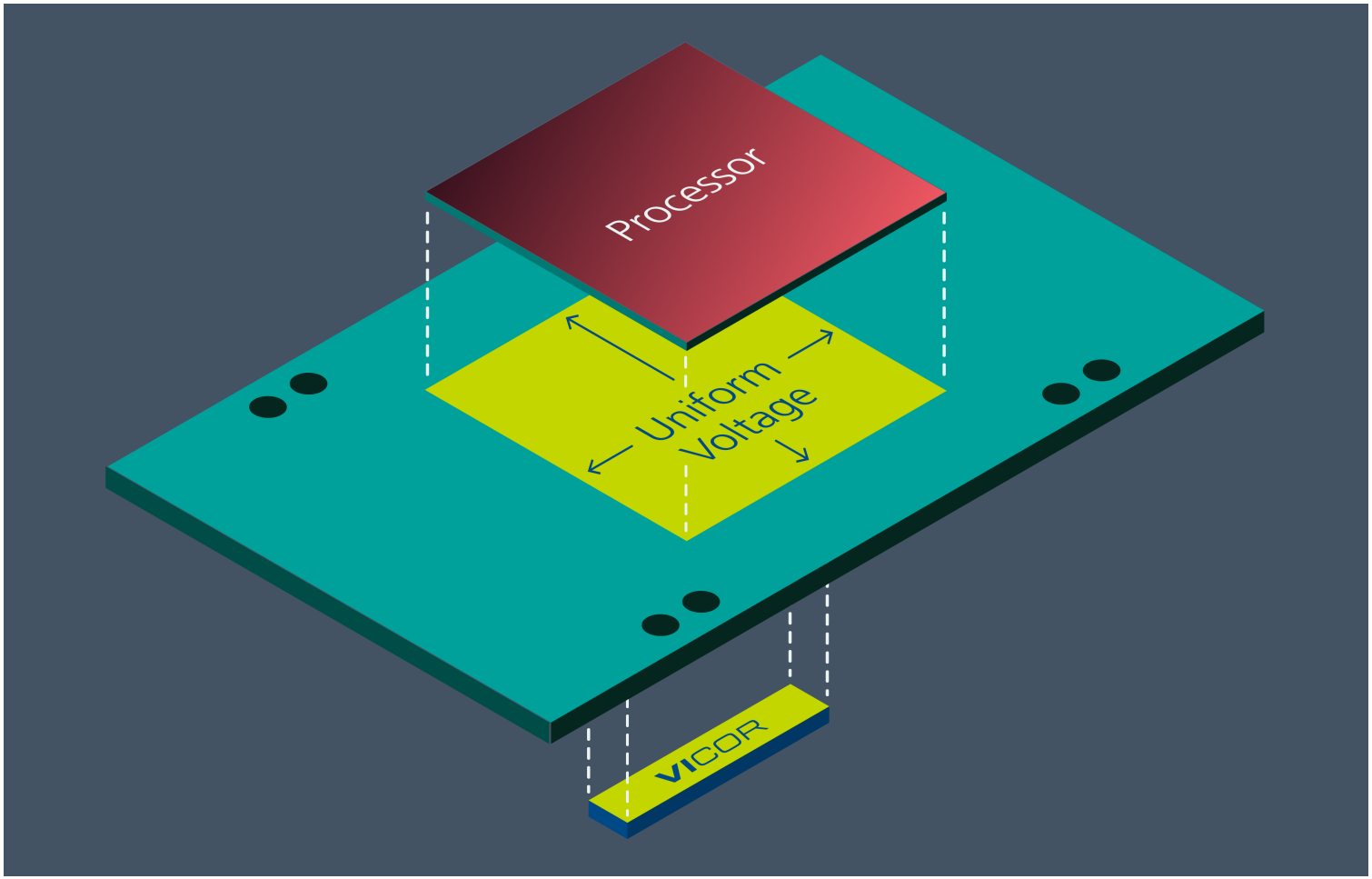
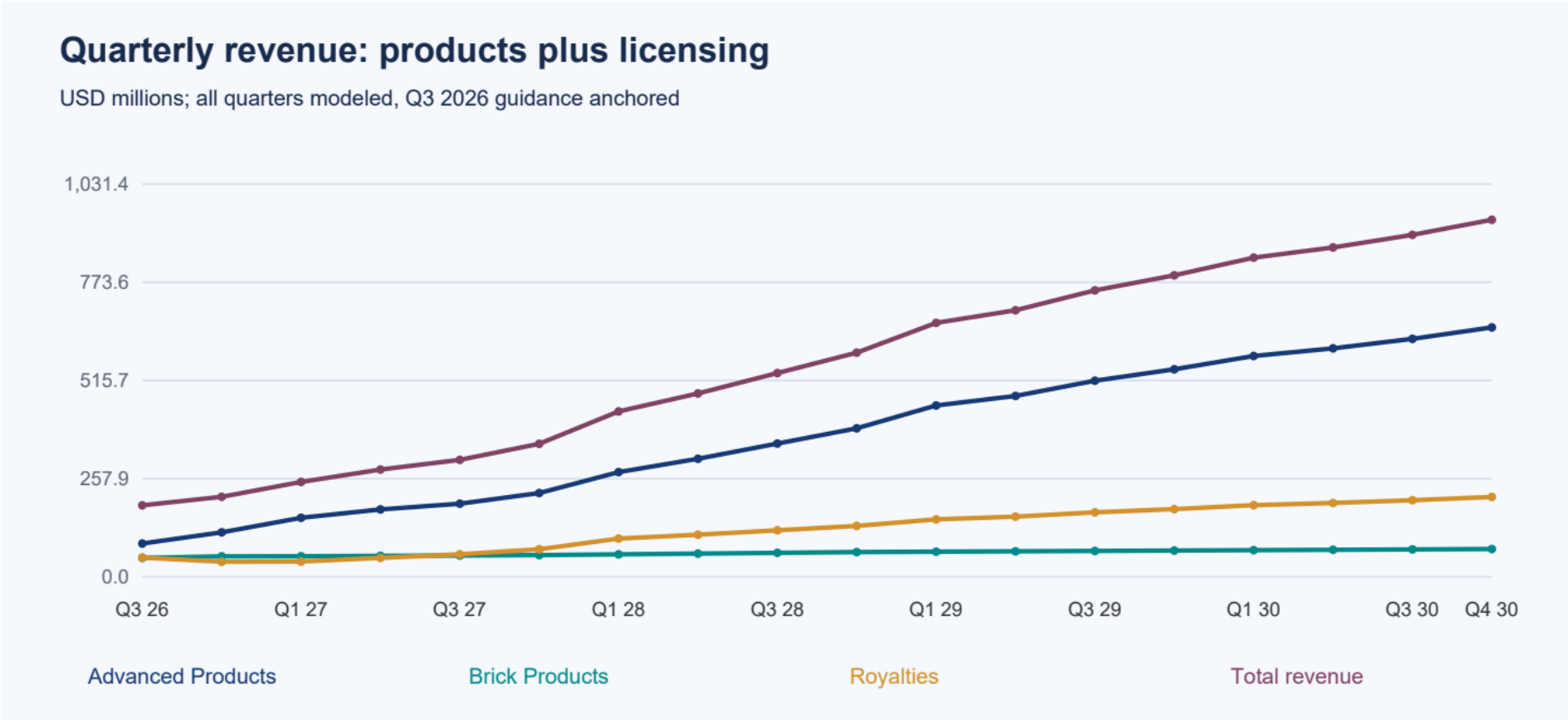


Figure 3. Vicor May 2024 technical article, Figure 4: illustration of voltage distribution across a processor die. This supports why delivery geometry can matter; it does not quantify 2026 pricing, customer volume or realized margins. (V14)



Quarterly revenue: products plus licensing. Source: current model; all forecast quantities are analytical assumptions. Supporting numeric table follows.

Quarter	Status	AP sales	Brick sales	Royalties	Total revenue	Confidence
Q3 2026	Guidance model	87.461	49.800	50.530	187.791	LOW mix / model
Q4 2026	Model	116.766	53.800	39.585	210.151	LOW mix / model
Q1 2027	Model	155.000	54.000	40.179	249.179	LOW mix / model
Q2 2027	Model	177.000	55.000	49.722	281.722	LOW mix / model
Q3 2027	Model	192.000	56.000	59.182	307.182	LOW mix / model
Q4 2027	Model	220.000	57.000	72.382	349.382	LOW mix / model
Q1 2028	Model	275.000	59.000	100.431	434.431	LOW mix / model

Quarter	Status	AP sales	Brick sales	Royalties	Total revenue	Confidence
Q2 2028	Model	310.000	61.000	110.606	481.606	LOW mix / model
Q3 2028	Model	350.000	63.000	122.156	535.156	LOW mix / model
Q4 2028	Model	390.000	65.000	133.706	588.706	LOW mix / model
Q1 2029	Model	450.000	66.000	150.910	666.910	LOW mix / model
Q2 2029	Model	475.000	67.000	158.060	700.060	LOW mix / model
Q3 2029	Model	515.000	68.000	169.335	752.335	LOW mix / model
Q4 2029	Model	545.000	69.000	177.860	791.860	LOW mix / model
Q1 2030	Model	580.000	70.000	188.211	838.211	LOW mix / model
Q2 2030	Model	600.000	71.000	193.986	864.986	LOW mix / model
Q3 2030	Model	625.000	72.000	201.136	898.136	LOW mix / model
Q4 2030	Model	655.000	73.000	209.661	937.661	LOW mix / model

Quarter	AP factor ×63.735	AP GM	Brick factor ×49.191	Brick GM	Royalty factor ×30.426
Q3 2026	1.372	54.00%	1.012	40.00%	1.661
Q4 2026	1.832	56.00%	1.094	40.00%	1.301
Q1 2027	2.432	58.00%	1.098	40.50%	1.321
Q2 2027	2.777	60.00%	1.118	40.50%	1.634
Q3 2027	3.012	62.00%	1.138	41.00%	1.945
Q4 2027	3.452	65.00%	1.159	41.00%	2.379
Q1 2028	4.315	66.00%	1.199	42.00%	3.301
Q2 2028	4.864	67.00%	1.240	42.00%	3.635
Q3 2028	5.491	69.00%	1.281	42.00%	4.015
Q4 2028	6.119	70.00%	1.321	42.00%	4.394
Q1 2029	7.060	71.00%	1.342	43.00%	4.960
Q2 2029	7.453	72.00%	1.362	43.00%	5.195

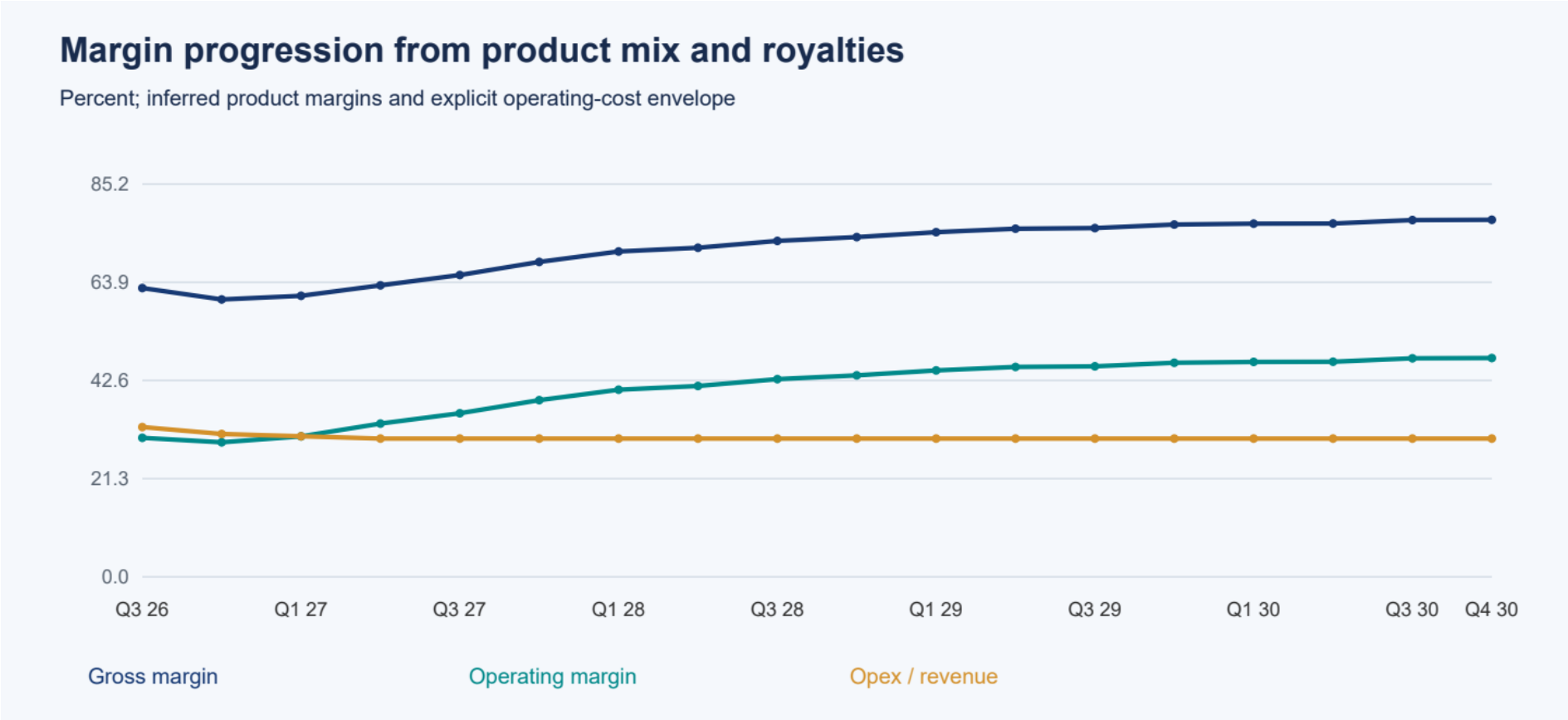
Quarter	AP factor ×63.735	AP GM	Brick factor ×49.191	Brick GM	Royalty factor ×30.426
Q3 2029	8.080	72.00%	1.382	43.00%	5.565
Q4 2029	8.551	73.00%	1.403	43.00%	5.846
Q1 2030	9.100	73.00%	1.423	44.00%	6.186
Q2 2030	9.414	73.00%	1.443	44.00%	6.376
Q3 2030	9.806	74.00%	1.464	44.00%	6.611
Q4 2030	10.277	74.00%	1.484	44.00%	6.891

7. Explicit operating-cost and profit bridge

Operating expense is 32.5% of revenue in Q3 2026, 31% in Q4, 30.5% in Q1 2027 and 30% thereafter. It includes R&D, SG&A, SBC and royalty-related legal costs. Additional royalty dollars incur this same cost ratio. Dollar expenses rise substantially, rather than assuming every royalty dollar becomes profit. A diagnostic split of 43% R&D / 57% SG&A follows the approximate Q2 expense mix; it is not segment guidance.

Gross profit = AP sales × AP margin + Brick sales × Brick margin + royalties. Operating profit = gross profit - revenue × opex ratio. This is a GAAP-style operating build; interest, tax benefits and other non-operating items are excluded. Manufacturing depreciation is embedded in product margins; cash capex is not expensed again dollar-for-dollar. Actual contingent legal-fee caps and future cost mix are unknown. [V1-V3]

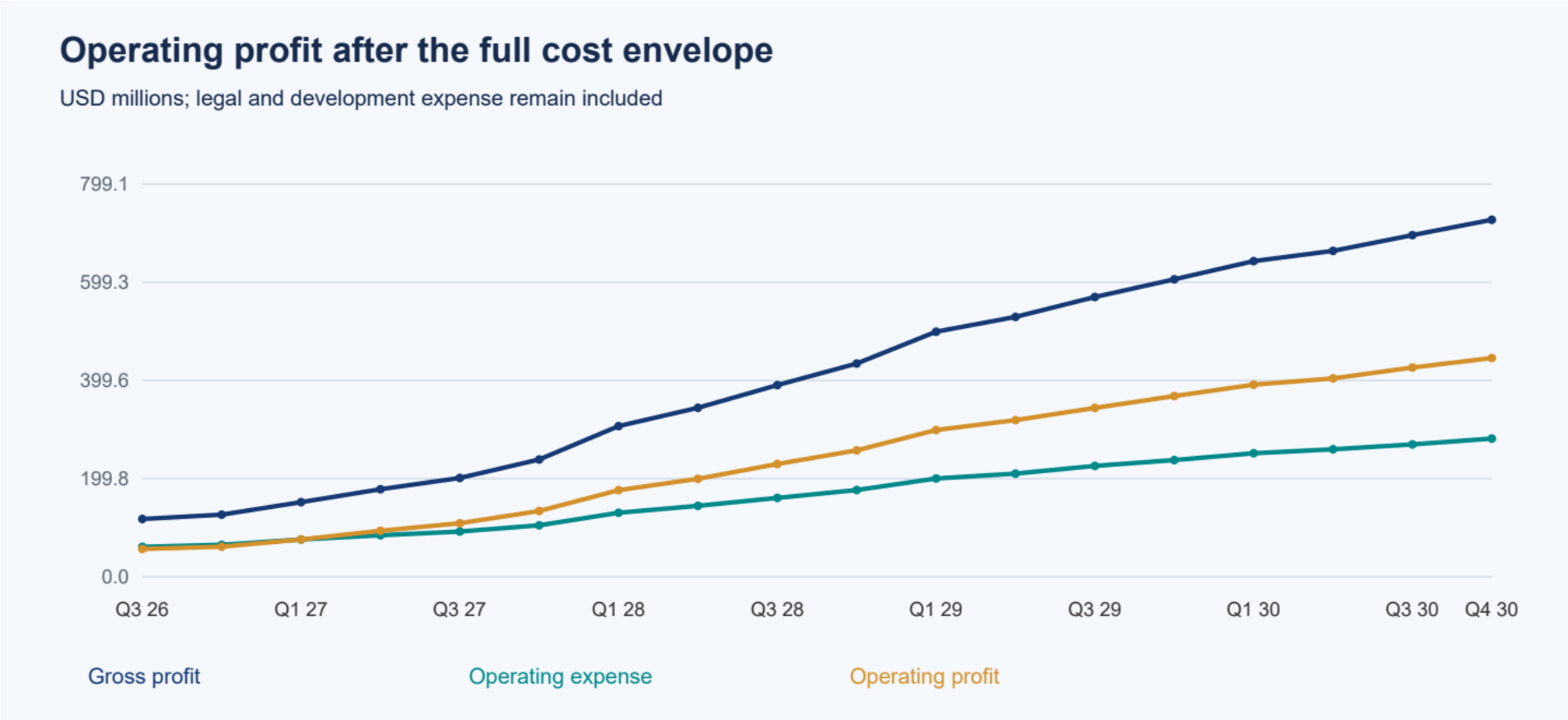
The 30% mature opex envelope is consistent with the gap between management's 70% GM and 40% OP objectives, but does not force their exact achievement. More royalties can lift blended gross and operating margins above those objectives. That is a modeled mix effect with significant uncertainty, not new management guidance.



Margin progression from product mix and royalties. Source: current model; all forecast quantities are analytical assumptions. Supporting numeric table follows.

Quarter	AP GP	Brick GP	Royalty GP	Total GP	Gross margin	Opex %	OP margin
Q3 2026	47.229	19.920	50.530	117.679	62.66%	32.50%	30.16%
Q4 2026	65.389	21.520	39.585	126.494	60.19%	31.00%	29.19%
Q1 2027	89.900	21.870	40.179	151.949	60.98%	30.50%	30.48%
Q2 2027	106.200	22.275	49.722	178.197	63.25%	30.00%	33.25%
Q3 2027	119.040	22.960	59.182	201.182	65.49%	30.00%	35.49%
Q4 2027	143.000	23.370	72.382	238.752	68.34%	30.00%	38.34%
Q1 2028	181.500	24.780	100.431	306.711	70.60%	30.00%	40.60%

Quarter	AP GP	Brick GP	Royalty GP	Total GP	Gross margin	Opex %	OP margin
Q2 2028	207.700	25.620	110.606	343.926	71.41%	30.00%	41.41%
Q3 2028	241.500	26.460	122.156	390.116	72.90%	30.00%	42.90%
Q4 2028	273.000	27.300	133.706	434.006	73.72%	30.00%	43.72%
Q1 2029	319.500	28.380	150.910	498.790	74.79%	30.00%	44.79%
Q2 2029	342.000	28.810	158.060	528.870	75.55%	30.00%	45.55%
Q3 2029	370.800	29.240	169.335	569.375	75.68%	30.00%	45.68%
Q4 2029	397.850	29.670	177.860	605.380	76.45%	30.00%	46.45%
Q1 2030	423.400	30.800	188.211	642.411	76.64%	30.00%	46.64%
Q2 2030	438.000	31.240	193.986	663.226	76.67%	30.00%	46.67%
Q3 2030	462.500	31.680	201.136	695.316	77.42%	30.00%	47.42%
Q4 2030	484.700	32.120	209.661	726.481	77.48%	30.00%	47.48%



Operating profit after the full cost envelope. Source: current model; all forecast quantities are analytical assumptions. Supporting numeric table follows.

Quarter	Revenue	Gross profit	Opex	Operating profit	OP margin
Q3 2026	187.791	117.679	61.032	56.647	30.16%
Q4 2026	210.151	126.494	65.147	61.347	29.19%
Q1 2027	249.179	151.949	76.000	75.950	30.48%
Q2 2027	281.722	178.197	84.517	93.680	33.25%
Q3 2027	307.182	201.182	92.155	109.027	35.49%
Q4 2027	349.382	238.752	104.815	133.937	38.34%
Q1 2028	434.431	306.711	130.329	176.382	40.60%

Quarter	Revenue	Gross profit	Opex	Operating profit	OP margin
Q2 2028	481.606	343.926	144.482	199.444	41.41%
Q3 2028	535.156	390.116	160.547	229.569	42.90%
Q4 2028	588.706	434.006	176.612	257.394	43.72%
Q1 2029	666.910	498.790	200.073	298.717	44.79%
Q2 2029	700.060	528.870	210.018	318.852	45.55%
Q3 2029	752.335	569.375	225.701	343.675	45.68%
Q4 2029	791.860	605.380	237.558	367.822	46.45%
Q1 2030	838.211	642.411	251.463	390.948	46.64%
Q2 2030	864.986	663.226	259.496	403.730	46.67%
Q3 2030	898.136	695.316	269.441	425.875	47.42%
Q4 2030	937.661	726.481	281.298	445.183	47.48%

Royalty contribution after incremental costs

Quarter	Weighted royalty increment	Added opex	Added OP	After-cost contribution rate
Q3 2026	30.104	9.784	20.320	67.50%
Q4 2026	14.159	4.389	9.770	69.00%
Q1 2027	14.753	4.500	10.253	69.50%
Q2 2027	24.296	7.289	17.007	70.00%
Q3 2027	33.756	10.127	23.629	70.00%
Q4 2027	46.956	14.087	32.869	70.00%
Q1 2028	81.362	24.409	56.953	70.00%
Q2 2028	91.537	27.461	64.076	70.00%
Q3 2028	103.087	30.926	72.161	70.00%
Q4 2028	114.637	34.391	80.246	70.00%
Q1 2029	130.887	39.266	91.621	70.00%
Q2 2029	138.037	41.411	96.626	70.00%
Q3 2029	149.312	44.794	104.519	70.00%
Q4 2029	157.837	47.351	110.486	70.00%
Q1 2030	167.187	50.156	117.031	70.00%
Q2 2030	172.962	51.889	121.073	70.00%
Q3 2030	180.112	54.034	126.078	70.00%
Q4 2030	188.637	56.591	132.046	70.00%

The increment is measured against the contract-led control in the current probability build. It is a decomposition of the active model, not another revenue vector. Product paths, shares and valuation rules are common to both coherent outcomes; costs are linear under the retained ratio, so weighting the operating inputs matches weighting their valuations. No probability is applied again at the final ceiling.

8. Valuation method, shares and liquidity

Current owner-directed method: 20× rolling forward-four-quarter consolidated operating profit (100% attribution in this model), divided by the ceiling quarter's diluted-share proxy; unit factor 1. The multiple is the owner-directed company-specific assumption as of October 1, 2026. It is not an observed P/E, a net-income multiple or a claim of universal legal exclusivity. The method does not add cash or subtract a separately introduced enterprise-value debt adjustment.

Shares begin at the Q2 reported diluted weighted-average count of 47.708M for the Q3 2026 ceiling and increase 0.5% annually as a net-award proxy. July 22 common plus Class B outstanding shares of 46.106732M are not interchangeable with diluted EPS shares. Future treasury-stock option effects may differ from this proxy. The same starting-quarter share convention is used for every four-quarter window; the owner-directed 20× multiple applies consistently to all windows. [V1]

June cash is 453.582M. A 14.3M CHIPS refund was received July 13; adding it to June cash is not a current cash-balance calculation because intervening operations and investments matter. H1 operating cash flow was 30.197M after a 28.557M SynQor payment; exercise and employee-plan proceeds were 44.224M. Equipment purchases were 23.560M, with 22.745M of June commitments plus 2.155M received but unpaid. The June balance sheet does not show a funded financial-debt line, but operating obligations and fab investment remain. New site purchase and full buildout budgets are not quantified in the announcement. [V1, V4]

The August 25 board authorization permits **150M of repurchases**, replacing the previous program; it is not additive to that program and does not establish executed purchases. The June remaining balance of the old authorization was 64.327067M, so expanded legal headroom is 85.672933M if there was no intervening use. That subtraction measures capacity, not the amount already embedded in our share forecast. No post-Q2 execution was retrieved. [V10]

There were no H1 2026 repurchases. Competing fab cash needs, a high assumed execution price and the new program's lack of a deadline or obligation weaken a large near-term completion hypothesis. The active model retains its share path. Section 11 quantifies a 25% execution diagnostic rather than inventing overlap with the net-award proxy. This disposition rests on economic and timing counterevidence, not a rule requiring official confirmation before modeling.

The CEO's disclosed 10b5-1 sale plan concerns up to one million existing shares over September 2026-December 2028, with specified price thresholds. It is not new issuance, a completed sale or a management valuation target. [V1]

9. Complete rolling quarterly ceiling derivation



VICR quarterly ceiling at 20x forward operating profit. Source: current model; all forecast quantities are analytical assumptions. Supporting numeric table follows.

Ceiling quarter	Exact earnings window	Forward 4Q OP	Multiple	Shares M	Ceiling USD
Q3 2026	Q3 2026 - Q2 2027	287.624	20×	47.708000	120.58
Q4 2026	Q4 2026 - Q3 2027	340.004	20×	47.767524	142.36
Q1 2027	Q1 2027 - Q4 2027	412.594	20×	47.827121	172.54
Q2 2027	Q2 2027 - Q1 2028	513.026	20×	47.886793	214.27
Q3 2027	Q3 2027 - Q2 2028	618.791	20×	47.946540	258.12

Ceiling quarter	Exact earnings window	Forward 4Q OP	Multiple	Shares M	Ceiling USD
Q4 2027	Q4 2027 - Q3 2028	739.333	20×	48.006361	308.01
Q1 2028	Q1 2028 - Q4 2028	862.790	20×	48.066257	359.00
Q2 2028	Q2 2028 - Q1 2029	985.125	20×	48.126227	409.39
Q3 2028	Q3 2028 - Q2 2029	1,104.533	20×	48.186273	458.44
Q4 2028	Q4 2028 - Q3 2029	1,218.639	20×	48.246393	505.17
Q1 2029	Q1 2029 - Q4 2029	1,329.066	20×	48.306588	550.26
Q2 2029	Q2 2029 - Q1 2030	1,421.297	20×	48.366859	587.72
Q3 2029	Q3 2029 - Q2 2030	1,506.175	20×	48.427204	622.04
Q4 2029	Q4 2029 - Q3 2030	1,588.375	20×	48.487625	655.17
Q1 2030	Q1 2030 - Q4 2030	1,665.735	20×	48.548121	686.22

All valuation windows include the ceiling quarter and the following three quarters. The final three operating quarters support the final complete windows; they do not receive incomplete four-quarter ceilings. Prices and portfolio EV ranking remain in Excel. The dotted line identifies the workbook's active horizon; Q4 2027 is the active selection through December 31, 2026; the next roll is January 1, 2027 to Q1 2028.

- **Q3 2026:** (56.646854 + 61.347139 + 75.949544 + 93.680190) × 20 × 1 / 47.708000 = **USD 120.576728/share**. Q3 2026 - Q2 2027.
- **Q4 2026:** (61.347139 + 75.949544 + 93.680190 + 109.027190) × 20 × 1 / 47.767524 = **USD 142.357836/share**. Q4 2026 - Q3 2027.
- **Q1 2027:** (75.949544 + 93.680190 + 109.027190 + 133.937190) × 20 × 1 / 47.827121 = **USD 172.535625/share**. Q1 2027 - Q4 2027.
- **Q2 2027:** (93.680190 + 109.027190 + 133.937190 + 176.381892) × 20 × 1 / 47.886793 = **USD 214.266367/share**. Q2 2027 - Q1 2028.
- **Q3 2027:** (109.027190 + 133.937190 + 176.381892 + 199.444393) × 20 × 1 / 47.946540 = **USD 258.116921/share**. Q3 2027 - Q2 2028.
- **Q4 2027:** (133.937190 + 176.381892 + 199.444393 + 229.569392) × 20 × 1 / 48.006361 = **USD 308.014542/share**. Q4 2027 - Q3 2028.
- **Q1 2028:** (176.381892 + 199.444393 + 229.569392 + 257.394392) × 20 × 1 / 48.066257 = **USD 359.000316/share**. Q1 2028 - Q4 2028.
- **Q2 2028:** (199.444393 + 229.569392 + 257.394392 + 298.717237) × 20 × 1 / 48.126227 = **USD 409.392329/share**. Q2 2028 - Q1 2029.
- **Q3 2028:** (229.569392 + 257.394392 + 298.717237 + 318.852237) × 20 × 1 / 48.186273 = **USD 458.443120/share**. Q3 2028 - Q2 2029.
- **Q4 2028:** (257.394392 + 298.717237 + 318.852237 + 343.674737) × 20 × 1 / 48.246393 = **USD 505.172938/share**. Q4 2028 - Q3 2029.
- **Q1 2029:** (298.717237 + 318.852237 + 343.674737 + 367.822237) × 20 × 1 / 48.306588 = **USD 550.263017/share**. Q1 2029 - Q4 2029.
- **Q2 2029:** (318.852237 + 343.674737 + 367.822237 + 390.947599) × 20 × 1 / 48.366859 = **USD 587.715164/share**. Q2 2029 - Q1 2030.
- **Q3 2029:** (343.674737 + 367.822237 + 390.947599 + 403.730099) × 20 × 1 / 48.427204 = **USD 622.036602/share**. Q3 2029 - Q2 2030.
- **Q4 2029:** (367.822237 + 390.947599 + 403.730099 + 425.875099) × 20 × 1 / 48.487625 = **USD 655.167184/share**. Q4 2029 - Q3 2030.

- **Q1 2030:** (390.947599 + 403.730099 + 425.875099 + 445.182599) × 20 × 1 / 48.548121 = **USD 686.220335/share**. Q1 2030 - Q4 2030.

10. Annual trajectory and capacity cross-check



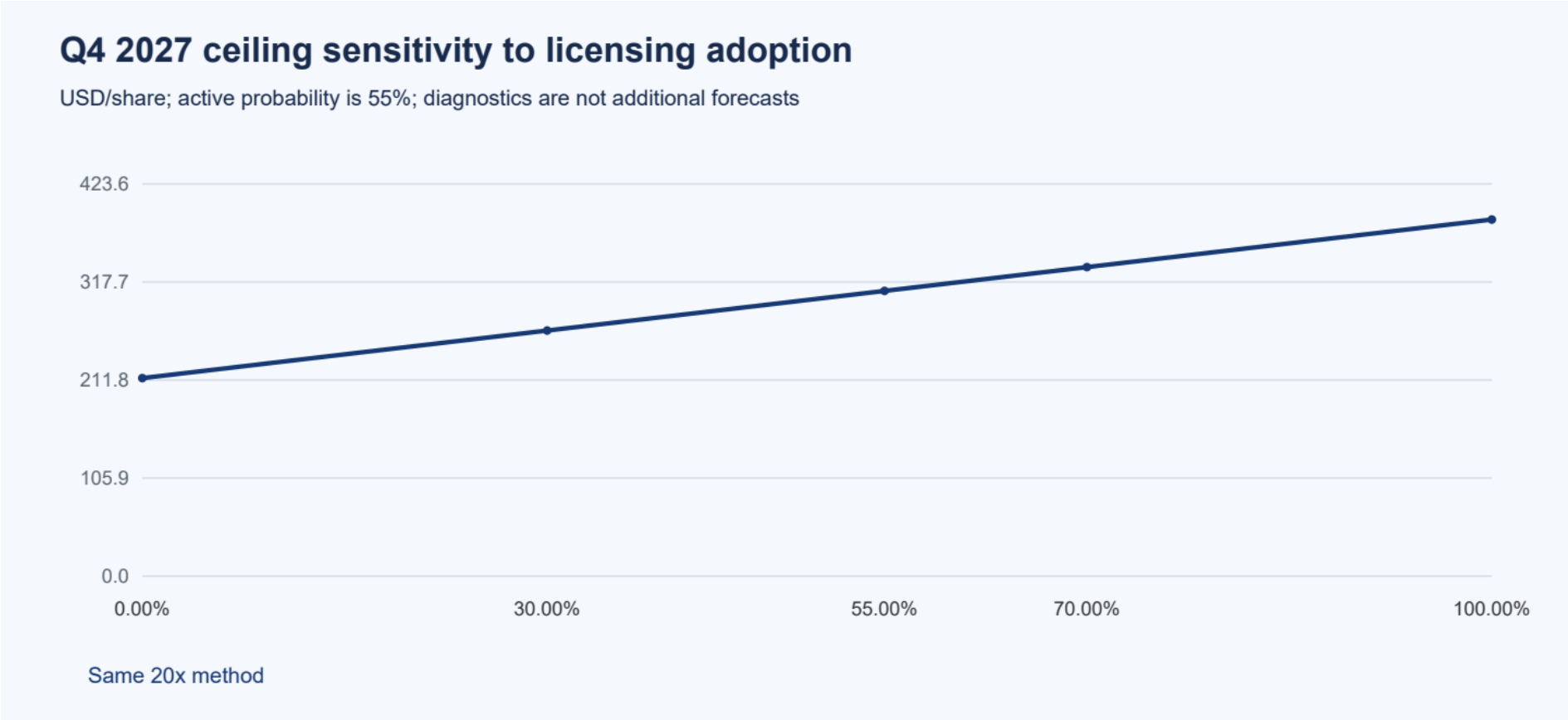
Annual product and royalty scale. Source: current model; all forecast quantities are analytical assumptions. Supporting numeric table follows.

Calendar year	AP sales	Brick sales	Product total	Royalties	Total revenue	OP	OP margin
2027	744.000	222.000	966.000	221.464	1,187.464	412.594	34.75%
2028	1,325.000	248.000	1,573.000	466.900	2,039.900	862.790	42.30%
2029	1,985.000	270.000	2,255.000	656.166	2,911.166	1,329.066	45.65%
2030	2,460.000	286.000	2,746.000	792.993	3,538.993	1,665.735	47.07%

FY2026 revenue is modeled at 654.263M, including first-half actual revenue of 256.321M. This is the sum of the refreshed quarters, not a separately imposed annual target. The calendar-year sums above are cross-checks, not a replacement for rolling four-quarter valuation.

Total revenue crosses management's 2.5B scale objective in 2029 in this model. That timing reflects the assumed royalty adoption plus product output; it is not guidance. Product revenue remains the capacity-constrained manufacturing quantity. Fab-3 optional space is not converted automatically into another revenue pool. The farther out the forecast goes, the less reliable exact margins and timing become; 2029-2030 should be treated as conditional scale tests.

11. Probability, timing, cost and share sensitivities



Q4 2027 ceiling sensitivity to licensing adoption. Source: current model; all forecast quantities are analytical assumptions. Supporting numeric table follows.

Adoption probability	Q4 2027 ceiling USD	Interpretation
0.00%	213.84	Diagnostic endpoint; same product path and shares

Adoption probability	Q4 2027 ceiling USD	Interpretation
30.00%	265.21	Diagnostic endpoint; same product path and shares
55.00%	308.01	Active case
70.00%	333.70	Diagnostic endpoint; same product path and shares
100.00%	385.07	Diagnostic endpoint; same product path and shares

Diagnostic	Q4 2027 ceiling USD	What changes
Active model	308.01	55% probability; 50% product ratio from 2028
Slower 2028 adoption	284.43	Conditional ratio 35% in H1 and 40% in H2 2028, then 50%
Lower mature capture	281.12	35% conditional royalty/product ratio from 2028
Extra licensing operating cost	294.56	Additional 10% of weighted incremental royalties expensed; above retained opex envelope

The 0% diagnostic removes only the future joint adoption increment. Q3 2026 remains the guidance-anchored point estimate. A pure update to that quarter alone cannot increase a Q4 2027-Q3 2028 ceiling; the active horizon's gain depends on royalties recurring and expanding. This distinction is central to judging the model.

Fixed Q3 2027 buyback diagnostic	Cash USD M	Shares retired if executed M	Execution probability	Weighted ceiling USD	Ceiling effect
Expanded authorization capacity	85.673	0.286	25%	258.50	0.15%
Entire replacement authorization	150.000	0.500	25%	258.80	0.26%

These fixed-Q3 2027 diagnostics retain their specified completion and measurement date; they are not the portfolio active horizon. Buyback diagnostics assume an average purchase price of USD 300 and completion by Q3 2027. Neither is a fact. Each outcome uses actual scenario shares in the existing 20× formula before probabilities are combined. The weighted effect is about 0.15%-0.26%; no valuation-equivalent denominator is mislabeled as physical diluted shares. Expanded authorization capacity is not proof the old authorization was already forecast to execute. The economic counterarguments in section 8 support keeping these diagnostics out of the active denominator.

Share sensitivity	Q4 2027 shares M	Ceiling USD
5% fewer	45.606	324.23
Active	48.006	308.01
5% more	50.407	293.35

Share sensitivity	Q4 2027 shares M	Ceiling USD
10% more	52.807	280.01

12. Signal ledger, overlap and active model ownership

Signal / date	Exact hypothesis / probability	Current contribution and overlap	Update / counter test
R1 - Sep 30 issuer; same event as Sep 21 / repost	Q3 >30% growth; 31% point estimate entered in full, not certainty of result	Modeled total 187.79112; royalties 50.52992 at unchanged products. Model B117 and E137:H137 feed D76.	Q3 actuals, catch-up versus recurring recognition, product mix and legal fees.
R2 - Apr/Jul calls plus September monetization	55% probability of the royalty/product path in section 4; time profile is assumed	One joint adoption/renewal outcome. Reference and conditional amounts in section 4; cost increment section 7. Model B118:B122 and rows138:154 feed royalty rows77:93.	Raise toward70% for persistent adoption; reduce toward30% for catch-up-only fees, pricing discounts, poor renewals or delay.
C1 - Sep 11 fab sites	75% judgment on initial deployment around Sep2027; Fab3 material-scale judgment50%	AP path already includes expansion. A separate area×sales proxy would duplicate the two-fab capacity envelope; zero added layer.	Installation, yield, customer qualification and funded buildout shift existing capture/timing probabilities.
L1 - Sep 9 complaint / Sep 14 notice	60% judgment on additional licensing leverage over2027-28	Correlated input to R2, not a second probability multiplication or cash settlement. No damages/ban booked.	Claim scope, proceedings, design-arounds and commercial licensing evidence.
A1 - Sep 10 INFAC collaboration	35% judgment on meaningful automotive production by2028	Broad AP path includes automotive. Attempted units×content proxy lacks customer units/SOP and cannot separate incremental economics from AP; zero extra layer.	Independent vehicle-program scale and component content refine the already modeled AP opportunity.
B1 - Aug 25 replacement buyback	25% diagnostic execution at $300 byQ32027; not active	Quantified<0.3% effect; completion hypothesis weakened by noH1buybacks, purchase price and competing fabs. No invented share overlap.	Executed amounts, capital-allocation intent and cash needs alter the timing hypothesis.

R2's probability-weighted royalty increment is **119.7603M in 2027**, with **36.001856M added operating expenses** and **83.758444M added operating profit**. In the active Q4 2027-Q3 2028 window, added OP is 226.058718M. These figures reconcile to the quarterly bridge and the workbook. The no-increment control and conditional values are analytical components of one current model, not competing official forecasts.

The source/repost grouping is explicit: Wall St Engine relays issuer guidance and supplies no independent second licence event. April's ambition, July's contract mechanics, September VPD monetization and the legal complaint are related evidence about one licensing franchise. Product capacity, order backlog, licence income and damages are distinct economic categories. No amount is added more than once.

13. Scored risk classes

Risk class	Scored deduction	Mechanism and consequence
Customer and architecture concentration	-1	Large designs can be delayed, redesigned or lost; superior specifications do not guarantee universal adoption.
Patent scope and renewal	-1	Specific redesigns can avoid an exclusion order; licensing economics and renewals are uncertain.
Manufacturing execution	-1	Fab construction, yield, qualification and depreciation can reduce realized returns.
Governance and capital allocation	-1	Founder control, technical succession and large capacity commitments concentrate execution responsibility.

The February 5 customs ruling admits specified Delta/Cyntec single-sided redesigns outside the older 1370 exclusion order on the facts described. It does not invalidate all Vicor patents or decide the new VPD allegations. Conversely, the September complaint requests relief; it is not an adjudicated victory or a granted import ban. [V6, V11]

TI's March 2026 800VDC architecture announcement with NVIDIA supplies concrete evidence of an alternative power route. It supports competitive-risk weighting, without asserting that any TI implementation infringes or is cleared of Vicor claims. Larger IDMs and customers can optimize their own architectures; Vicor must sustain superior system economics, qualify output and monetize enforceable claims. On the July call, management also described two companies seeking Vicor building blocks for integrated voltage regulators. Alternative architectures can therefore become component opportunities as well as competitive threats; this is included within the AP forecast, with no extra revenue layer. [V3, V7, V12]

14. Dated catalysts and falsification tests

Checkpoint	Evidence to inspect	Model consequence
Next Q3 results; date not established in reviewed material	Actual revenue relative to >186.3576 floor; royalty recognition, cash, legal fees and product mix	Reset Q3 to actuals; revise persistence and cost assumptions, not the sanctioned multiple.
Q4 2026-H1 2027	Recurring fees versus upfront/catch-up recognition; new licence breadth and contract structures	Reweight R2 and move the ramp if necessary. An unsigned but quantifiable customer signal can still change probability.
Around September 2027	Fab-2 equipment installation, qualified capacity and accepted output	Change existing AP conversion/timing; no automatic revenue from floor area.
2027-28 contract renewal window	Covered-unit economics, renewal fees, cancellations and royalty discounts	Reconcile joint expansion endpoint against contractual control; remove overlapping forecasts.
Each legal milestone	Actual claim scope and procedural outcome, not social summaries alone	Adjust licensing capture and R2 probability in both directions; no blanket exclusivity claim.
Every earnings release	Product gross margins, cost dollars, SBC, diluted shares and cash uses	Test margin scale and dilution; larger fab cash needs can weaken repurchase scenarios.

15. Cross-book implications

NVDA, AMD and custom accelerators can expand demand for dense package power, but no undisclosed licensee identity is assumed. AVGO and MRVL custom-silicon ramps can create opportunities while also supporting customer-designed alternatives. TI and other established power suppliers are direct competitive monitors. Package geometry, including developments associated with TSEM and the optical chain, can alter thermal and power-delivery requirements.

BE and other site-level power suppliers operate at a different layer from VICR's package/module conversion. Their revenues are not a shared wallet that can be added together. A stronger upstream AI deployment forecast should change Vicor inputs only through a specified output, content, licence or timing bridge. Current product growth already embeds substantial AI expansion, so broad capex enthusiasm alone does not justify another multiplier.

16. Source register, evidence limits and model snapshot

V1 - Q2 2026 Form 10-Q (2026-07). Financial statement and Note 7 product/revenue-type calibration; shares, commitments and litigation.

V2 - Q1 2026 management call transcript (2026-04-21). Full prepared remarks and Q&A; capacity definition, market mix and royalty costs.

V3 - Q2 2026 management call transcript (2026-07-21). Full prepared remarks and Q&A; guidance, licensing cadence, margin objectives and customer timing.

V4 - Additional ChiP fab sites (2026-09-11). Merrimack and Hooksett sites, Fab-2 initial deployment lead time and Fab-3 expansion option.

V5 - VPD licence to a leading AI OEM (2026-09-16). Signed non-exclusive licence; multisourcing and royalty discounts tied to purchasing Vicor products. Terms and identity undisclosed.

V6 - CBP ruling H347983 (2026-02-05). Specified Delta and Cyntec single-sided redesigns are outside the 1370 exclusion order on the described facts; not a blanket determination for all products or patents.

V7 - 2025 Form 10-K (2026-03-02). Competition section: larger IDMs in advanced products, fragmented Brick competition, customer design-cycle and concentration risks.

V8 - First September guidance increase; four overall licensees (2026-09-21). Four OEM/hyperscaler power-technology licensees; not four VPD licenses. Superseded growth threshold is history only.

V9 - Q3 revenue growth now more than 30% sequential (2026-09-30). Higher royalties from same first VPD license; open lower bound, not exact growth or a second new license.

V10 - Replacement $150M repurchase authorization (2026-08-27). Authorized August25, replaces old program; no execution obligation or expiry.

V11 - New VPD patent complaint; DN3936 (2026-09-14). Complaint and requested relief, not granted exclusion or court victory.

V12 - TI 800VDC power architecture with NVIDIA (2026-03-16). Competing architecture; no blanket assertion on infringement or production awards.

V13 - INFAC high-voltage vehicle power collaboration (2026-09-10). Design block, not a disclosed production-volume award.

V14 - Official Vicor VPD engineering article (2024-05). Original technical diagrams in PDF; historical engineering evidence, not 2026 orders.

Evidence limits: no September VPD licence rate, customer identity, duration, minimum guarantee or catch-up/recurring decomposition is public in the reviewed material. The 31% growth point, royalty/product ratios, 55% weight, quarterly timing, product revenue factors, product margins and buyback diagnostics are analytical assumptions. These gaps affect probabilities and sensitivities rather than excluding the royalty opportunity. Q3 was not reported at this cutoff. The full quarterly path is not company guidance.

Accounting and unit controls: USD millions for operating values and shares in millions; USD/share after multiplication by 20 and unit factor1. Calendar quarters align to Vicor's December fiscal year. Guidance remains Model status. Product royalty removal, contractual recognition, legal costs and diluted-share basis are reconciled independently. Outer-year visibility deteriorates materially.

Current artifact/model ownership: full original-named MD and self-contained PDF in G:\My Drive\1amInvesting\Artifacts; master workbook v3_2_master_portfolio.xlsx, owning tab VICR_Q_Model, portfolio row64 and quarterly-ceiling row67. Eighteen operating quarters support fifteen complete valuation windows. Control rows115-132, royalty build137-154 and ledger158-169 are linked to the active formulas. Prior files and before/after records belong in the version archive, not in this current-state artifact.

Recoverable source snapshot: work/vicr_2026_10_01/source/. Research cutoff October1,2026. Analytical49/60 rounds82; portfolioBase82;20×forward operating profit;0.5%annual share proxy. Source diagrams and model charts are embedded for offline use.